attorney's responsibility."].) Here, Defendant concedes that the delay is "well short of that two-year mark." (Mem., p. 7.) Based on the foregoing, Defendant's request for an OSC regarding dismissal of the action is DENIED.

With respect to Defendant's alternate request, although unclear, Defendant appears to be requesting an OSC regarding monetary sanctions in the amount of at least $2,625, plus the initial filing fee, as the amount incurred in connection with bringing the present motion. (Mem., p. 9.)

The Court notes that it rarely, if ever, deals with motions concerning rule 3.110. Moreover, as a general matter of practice, the Court has rarely, if ever, *sua sponte* issued an OSC pursuant to rule 3.110(f). The Court further notes the unremarkable relief generally awarded in this circumstances. See Cal. Judges Benchbook: Civ. Proc. Before Trial (Mar. 2026), § 2.28 ["Most judges do not generally impose monetary sanctions on the first OSC, as long as the attorney has a reasonable explanation for the delay and promises to comply with the new deadline the judge has specified. A calendaring mistake is not viewed as a 'reasonable explanation.' If the attorney does not comply with the new deadline and cannot show good cause for failing to comply, monetary sanctions of $100–$250 are imposed against the attorney."].)

That said, given that it is undisputed that Plaintiff has not complied with rule 3.110(b), has not established the factors to justify an extension of time to serve the Summons and Complaint, has not yet filed a Proof of Service of the Summons and Complaint, and has not filed an Opposition to this Motion, the Court elects to exercise its discretion to GRANT the alternate motion for an OSC why sanctions should not be imposed. The Court finds that this procedure will properly place the burden on Plaintiff to justify the delay, as opposed to placing the burden on Defendant to first show prejudice.

As such, the matter is set for an OSC Re: Monetary Sanctions for Failure to Comply with CRC 3.110(b) on October 2, 2026 at 8:30 a.m. in Dept. B, to coincide with the Case Management Conference. Responsive papers must be filed and served at least 5 calendar days before the hearing. (See rule 3.110(i).) Plaintiff's responsive papers should, at minimum, address (1) the factors for extension of time to serve a summons and complaint under rule 3.110(e) and (2) the amount of monetary sanctions requested by Defendant. Defendant is invited to serve and file a reply to Plaintiff's responsive papers. If Defendant elects to do so, the reply must be served and filed no later than 3 calendar days before the hearing.

Laurie Capitelli et al v. Melinda Stewart et al **26CV000878**

DEMURRER TO PLAINTIFFS' VERIFIED COMPLAINT

TENTATIVE RULING: The Demurrer is OVERRULED. Defendant Melinda Stewart ("Ms. Stewart") is granted 10 days' leave from entry of this order to answer the Complaint. (See Rules of Court, rule 3.1320(g).)

A. PROCEDURAL MATTERS

Ms. Stewart demurs, pursuant to Code of Civil Procedure section 430.10, subdivisions (e) and (f), to the Verified Complaint filed by Plaintiffs on grounds that the Complaint fails to allege facts supporting the causes of action asserted against Ms. Stewart and that each of those causes of action is uncertain.

In Reply, Ms. Stewart withdraws her Demurrer to the Third, Fourth, and Fifth Causes of Action, following Plaintiffs' confirmation that they are asserted solely against co-defendants California Law Center ("CLC") and William Roger Utnehmer ("Utnehmer") (collectively, "Co-Defendants"). (Reply, 10:17-21; see also Opp., 2:13-15, 9:1-5.) Thus, this ruling only addresses the Demurrer to the First and Second Causes of Action.

Ms. Stewart's Request for Judicial Notice ("RJN") of the recorded documents (Exhibits A-C) is GRANTED. (Evid. Code, § 452, subd. (h).) Courts may take judicial notice of the existence and recordation of real property records, including deeds and deeds of trust, when the authenticity of the documents is not challenged. (*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 802-03.) "A court may take judicial notice of the fact of a document's recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document's legally operative language, assuming there is no genuine dispute regarding the document's authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face." (*Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265, overruled on other grounds.) Here, Plaintiffs do not challenge the authenticity of the records; in fact, Plaintiffs attached the same documents to their Complaint.

Ms. Stewart's Objections to Plaintiffs' Evidence submitted with their Opposition is SUSTAINED. Ms. Stewart's Objection to Exhibit A [Plaintiffs' Verified Complaint] to the Declaration of Tanner D. Brink ("Brink Decl.") is SUSTAINED on the ground that a copy of the Verified Complaint is not necessary, given that the Court has access to review the filed copy. Ms. Stewart's Objections to Brink Decl., Exh. B [The Dry Creek Trust] and Exh. D [The Certification of the Dry Creek Trust] is SUSTAINED as improper extrinsic matter not subject to judicial notice. Ms. Stewart's Objection to Brink Decl., Exh. C [Ms. Stewart's Federal Complaint against Co-Defendants] is SUSTAINED on the ground that the Federal Complaint is not relevant to the disposition of this demurrer.

B. RELEVANT FACTUAL BACKGROUND

The instant litigation arises out of a nonjudicial foreclosure of Plaintiffs' deed of trust, recorded December 17, 2024 ("Plaintiffs' DOT"), and an October 31, 2025 trustee's sale of real property located at 4598 Dry Creek Road in Napa, California ("Property") by Plaintiffs.

Plaintiffs' DOT secured, against the Property, a private money loan, from Plaintiffs to CLC (through Utnehmer), in the amount of $741,000.00. (Compl., ¶ 24, Exh. 6 [Plaintiffs' DOT]; see also RJN Exh. B [same].) Co-Defendants obtained the loan in their capacity as Trustee of the Dry Creek Trust. (Compl., ¶¶ 21, 24, 27, Exh. 6.) The Dry Creek Trust was created by Ms. Stewart, as Trustor, in September 2024 for the management and control of the Property. (*Id.*, ¶ 21.) In connection with the Dry Creek Trust, Ms. Stewart executed and notarized, on October 7, 2024, a Grant Deed transferring her individual interest in the Property to CLC (through Utnehmer), as Trustee of the Dry Creek Trust ("Trust GD"). (*Id.*, ¶ 22.) However, the Trust GD was not recorded until December 30, 2024, *after Plaintiffs' DOT was recorded*. (*Ibid.*, Exh. 5 [Trust GD]; see also RJN Exh. A [same].)

Plaintiffs' loan to the Dry Creek Trustee was allegedly used to pay off a prior deed of trus, secured against the Property in favor of Washington Mutual Bank ("WAMU DOT") in the amount of $476,047.61. (Compl., ¶¶ 27, 36(5), Exh. 7 [WAMU DOT Substitution of Trustee and Deed of Reconveyance]; see also RJN Exh. C [same]; see also Compl., ¶¶ 12, 14, 16 [allegations regarding WAMU DOT].) The WAMU DOT Substitution of Trustee and Deed of Reconveyance was executed the same day that the Trust GD was recorded—December 30, 2024.

Prior to the execution of the Dry Creek Trust and the Trust GD, title to the Property was in Ms. Stewart's name, solely. (Compl., ¶¶ 10, 17, Exh. 1 [10/3/2000 Grant Deed], Exh. 3 [Thane Williams' 8/17/18 Quitclaim Deed].)

Plaintiffs' DOT required the Dry Creek Trust to make monthly interest-only payments of $7,410.00 with the balance of Plaintiffs' loan amount due and payable on January 1, 2026. (*Id.*, ¶ 28.) Plaintiffs did not receive any payments and thus began nonjudicial foreclosure proceedings in March 2025 by recording and serving a Notice of Default. (*Id.*, ¶ 29.) In June 2025, Plaintiffs recorded a Notice of Trustee's Sale, and the trustee's sale was held on October 31, 2025. (*Ibid.*) The Trustee's Deed Upon Sale has not been delivered or recorded, due to threats by Ms. Stewart's counsel. (*Ibid.*) Defendants claim that Plaintiffs' DOT and subsequent foreclosure of the Property is void because it was recorded before the Dry Creek Trustee had title to the Property. (*Id.*, ¶ 30.)

Plaintiffs' Complaint asserts two causes of action against Ms. Stewart and Co-Defendants: (1) Quiet Title/Declaratory Relief against all Defendants, and (2) Equitable Lien/Equitable Mortgage against all Defendants.

C. LEGAL STANDARD

A demurrer is treated as "admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Court must "construe the allegations of a complaint liberally in favor of the pleader." (*Skopp v. Weaver* (1976) 16 Cal.3d 432, 438.) Court must also accept as true facts that may be inferred from those expressly alleged. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) The Court may also consider as grounds for a demurrer any matter that is judicially noticeable under Evidence Code sections 451 or 452. (Code. Civ. Proc., § 430.30, subd. (a).) Because, "[a] demurrer tests only the legal sufficiency of the pleading…the question of plaintiff's ability to prove the[] allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Comm. on Children's Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 213-14.)

D. LEGAL ANALYSIS

1. First Cause of Action for Quiet Title/Declaratory Relief

a. The Nature of the First Cause of Action

Neither party discusses the elements of either a quiet title claim, or a declaratory relief claim, despite Ms. Stewart's first ground being that the complaint fails to allege facts sufficient to state such causes of action.

Any person claiming rights under a contract (oral or written) or under a written instrument other than a will or trust, or with respect to property, may bring an action for a declaration of the person's rights or duties with respect to another. (Code Civ. Proc., § 1060.) "The fundamental basis of declaratory relief is the existence of an *actual, present controversy* over a proper subject." (*City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 79. Emphasis in original.)

A quiet title action must include (1) a description of the property that is the subject of the action, (2) the title of the plaintiff as to which a determination is sought and the basis of the title, (3) the adverse claims to the title of the plaintiff against which a determination is sought, (4) the date as of which the determination is ought, and a prayer for the determination of the title of the plaintiff. (Code Civ. Proc., § 761.020.)

b. The Complaint Alleges Facts Sufficient to Constitute the First Cause of Action

Here, Plaintiffs have alleged facts sufficient to constitute a cause of action for both declaratory relief and/or quiet title, [2] as the Complaint alleges facts establishing the existence of an actual, present controversy and the facts required under section 761.020.

The Relevant Factual Background section recapitulates those factual allegations above. And the allegations under the First Cause of Action label specify that Plaintiffs seek a judicial declaration establishing that the October 31, 2025 foreclosure sale is valid and enforceable and that a Trustee's Deed Upon Sale should be delivered to Plaintiffs and recorded to confirm title to the Property in favor of Plaintiffs. (Compl., ¶¶ 32, 36(1), (6).) Alternatively, Plaintiffs seek a judicial declaration that Plaintiffs' DOT is a first priority position lien against the entirety of the Property and quieting title to Plaintiffs' DOT by establishing that Ms. Stewart has no right whatever in the Property superior to Plaintiffs' lien. (*Id.*, ¶¶ 33, 36(2), (6).)

The Complaint alleges that Ms. Stewart disputes the foregoing. (*Id.*, ¶¶ 32-35.)

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[2] The Court acknowledges Ms. Stewart's argument that the declaratory relief label embedded in the first cause of action is duplicative of the quiet title label. However, duplicative pleading, "if it justifies any judicial intervention at all, is ordinarily dealt with most economically at trial, or on a dispositive motion such as summary judgment." (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 890; *R.L. v. Merced City School Dist.* (2025) 114 Cal.App.5th 89, 119 [reversing an order sustaining the demurrer and adopting *Blickman's* holding that "[r]edundancy, however, is not enumerated as one of the statutory grounds on which a demurrer may be sustained"].) Thus, the Court does not find that the duplicity argument is grounds for demurrer here.

In support of both alternate declarations, Plaintiffs rely on either (1) the after acquired title doctrine or (2) the bona fide encumbrancers doctrine. (*Id.*, ¶ 36(3)-(4).)

As a final alternative declaration, if the Court determines that neither the foreclosure sale or Plaintiffs' DOT are valid, Plaintiffs seek a judicial declaration that they are entitled to an equitable lien against the Property because their loan proceeds were used to satisfy the WAMU DOT. (Compl., ¶ 36(5).)

The parties' briefs argue their respective positions as to the merits of the declaratory judgment/quiet title action—Ms. Stewart attempting to show that Plaintiffs cannot obtain a declaratory judgment/title in their favor, and Plaintiffs attempting to show that they are so entitled.

Specifically, Ms. Stewart contends that "[t]he judicially noticeable recorded chain of title establishes that Plaintiffs' Deed of Trust was recorded on December 17, 2024, before the Grant Deed conveying title to CLC as Trustee of the Dry Creek Trust was recorded on December 30, 2024. A deed of trust recorded before the trustor holds record title is outside the chain of title and cannot support quiet title, priority, or bona fide encumbrancer relief against Stewart." (Dem., 4:8-13; see Mem., 10:3-5, citing *Far West Savings & Loan Assn. v. McLaughlin* (1988) 201 Cal.App.3d 67, 72-74; Civ. Code, §§ 1213, 1214; see also Reply, 6:7-7:1.)

In Opposition, Plaintiffs argue that the Property lawfully transferred from Ms. Stewart to the Dry Creek Trust upon delivery and the date of signing the Trust GD, not the recording date. (See Opp., 5:7-12, citing Civ. Code §§ 1054, 1217.) Plaintiffs further argue in support of their theories of after-acquired title doctrine (see Opp., 5:13-6:9, citing *Noronha v. Stewart* (1988) 199 Cal.App.3d 485, 489 and *Far West*, *supra*, 201 Cal.App.3d 67) and bona fide encumbrancers doctrine (see Opp., 6:11-7:11).

Ms. Stewart appears to acknowledge that Civil Code sections 1054 and 1217 support Plaintiffs' position that the recording date of the Trust GD is not necessarily the date that title to property is deemed transferred; however, Ms. Stewart challenges the fact that the Complaint does not expressly allege facts to satisfy Civil Code sections 1054 and 1217. (Reply, 6:7-7:1.) Moreover, Ms. Stewart disputes the application of both the after-acquired title doctrine and bona fide encumbrancers doctrine. (See Reply, 4:10-5:25, 7:3-8:5.)

In Reply, Ms. Stewart contends that an argument she made through her Motion as to the Second Cause of Action also disposes of the First Cause of Action. Namely, that she owns no interest in the Property and was not part of the transfer between CLC and Plaintiffs, and therefore, as a stranger to the transfer with no interest in the Property, Ms. Stewart cannot be liable to Plaintiffs or bound by any relief. (Reply, 3:3-5, 4:6-9; 4:26-5:2.) Not so. The Complaint clearly alleges that Ms. Stewart holds a 35% beneficial interest in the Property under the Dry Creek Trust. The First Cause of Action seeks alternate declarations to confirm Plaintiffs' proper title to the Property, which would establish that Ms. Stewart's beneficial interest in the Property no longer exists. Thus, Ms. Stewart's asserted "stranger" status is belied by the allegations of the Complaint.

The focus of the parties' brief is the exact "actual, present controversy" regarding the parties' adverse claims to title, which comprises the First Cause of Action. Whether the First Cause of Action is ultimately determined to be in favor of Plaintiffs or Defendants is not a proper determination on demurrer. Rather, "[a] general demurrer to a cause of action for declaratory relief must be overruled as long as an actual controversy is alleged; the pleader need not establish it is also entitled to a favorable judgment. [Citations.] A general demurrer is usually not an appropriate method for testing the merits of a declaratory relief action 'because the plaintiff is entitled to a declaration of rights even if it is adverse to the plaintiff's interest.'" (Weil & Brown, *et al.*, Cal. Practice Guide, Civ. Proc. Before Trial (The Rutter Group 2026), Ch. 7(I)-A, § 7:42.11.) "A declaratory relief claim is subject to general demurrer where it relates to a substantive claim that is *invalid as a matter law*." (Weil & Brown, *supra*, § 7:42.12.)

Here, Ms. Stewart has not shown that the judicial declarations Plaintiffs seek are invalid as a matter of law. Rather, as noted, Ms. Stewart does not dispute that Civil Code sections 1054 and 1217 generally support Plaintiffs' primary position. Moreover, the Court does not find Ms. Stewart's arguments regarding the after-acquired title doctrine and bona fide encumbrancers doctrine show that the judicial declarations Plaintiffs seek are invalid as a matter of law.

Based on the foregoing, the Court finds that the Complaint alleges facts sufficient to constitute the first cause of action for quiet title/declaratory relief.

a. The First Cause of Action is not Uncertain

Ms. Stewart further argues that the first cause of action fails for uncertainty because the Complaint "pleads mutually destructive theories—that Plaintiffs took as bona fide encumbrancers without notice, and alternatively that they are protected by after-acquired title—without alleging which is operative, rendering the claim uncertain." (Dem., 4:15-18; see Mem., 10:25-11:12.)

As an initial matter, a complaint is not made uncertain by the fact that inconsistent, alternative theories are pled without alleging "which is operative." Ms. Stewart identifies no legal requirement to plead the "operative" theory when alternates are pled. Even assuming such a requirement exists, the Complaint seems to allege Plaintiffs' theories in order of priority, with the first listed as the reasonably construed "primary" or "operative" theory. (See Compl., ¶¶ 36.)

Ms. Stewart's Memorandum appears to clarify that her argument is, instead, that, by Plaintiffs invoking the "after acquired title doctrine" under one alternative theory, Plaintiffs concede facts negating Plaintiffs' bona fide encumbrancer status under the other alternative theory. (See Mem., 11:10-12, Reply, 5:5-11.) First, the Court finds no such concession of facts in the Complaint, or inferred by the allegations therein, that would negate Plaintiffs' alternate theories. Second, inconsistent theories pled alternatively do not render the Complaint "uncertain." A demurrer for uncertainty is disfavored and may only be sustained where the allegations render the complaint so incomprehensible that a defendant cannot reasonably respond. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135.) Third, it is well-established that "[w]hen a pleader is in doubt about what actually occurred or what can be established by the evidence, the pleader may plead in the alternative and make inconsistent factual allegations." (Weil & Brown, *supra*, § 6:242, citing *Mendoza v. Rast Produce Co., Inc.* (2006) 140 Cal.App.4th 1395, 1402; *Adams v. Paul* (1995) 11 Cal.4th 583, 593 ["a party may plead in the alternative and may make inconsistent allegations"].)

Based on the foregoing, the demurrer to the First Cause of Action is OVERRULED.

2. <u>Second Cause of Action for Equitable Lien/Equitable Mortgage</u>

a. The Complaint Alleges Facts Sufficient to Constitute the Second Cause of Action

Again, Ms. Stewart does not discuss or identify the elements of an equitable lien or equitable mortgage cause of action, despite her demurrer being grounded on an argument that the Complaint fails to allege facts sufficient to state such cause(s) of action.

An equitable lien may arise from a contract that reveals a sufficient intent to charge particular property with a debt or obligation, or out of general considerations of right and justice as applied to the relations of the parties and the circumstances of their dealings, including based on the doctrines of estoppel, unjust enrichment, and detrimental reliance. (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 453, 455.)

The Second Cause of Action alleges: (1) Plaintiffs advanced money to CLC with the intent that Plaintiffs' DOT would be in the senior lien position and free and clear of any other rights, title, liens or encumbrances, (2) Plaintiffs request that the Court impress an equitable lien on "Defendants' interest" in the Property in the amount of $476,047.61 plus interest in the same amount as set forth in the Note and 2008 WAMU DOT and giving that equitable lien the same priority as the Plaintiffs' DOT, and (3) there will be no prejudice to Defendants because Defendants knew that their interest in the Property would not be senior or superior to Plaintiffs' interests in the entirety of the Property. (Compl., ¶¶ 39-41.)

Ms. Stewart contends that "the loan funds were advanced to CLC and Utnehmer, not to Stewart, and pleads no agreement by Stewart, no unjust enrichment of Stewart, and no facts entitling Plaintiffs to impress an equitable lien on Stewart's interest." (Dem., 4:21-25; see also Mem., 9:6-13.) Ms. Stewart argues that the Complaint therefore fails to allege facts establishing an equitable lien because it does not allege, against Ms. Stewart, "facts showing an intent that specific property serve as security for an obligation, or circumstances of unjust enrichment that equity will remedy by impressing a lien." (Mem., 11:15-22, citing *Zerin*, *supra*, 53 Cal.App.4th at 453-455.)

Plaintiffs clarify that the Second Cause of Action is an alternative to the First Cause of Action. (Opp., 7:13.) Plaintiffs argue that it is properly pled because Ms. Stewart is alleged to have a 35% interest in the Property through the Dry Creek Trust and that Plaintiffs' funds, loaned to the Dry Creek Trust, were used to pay off a prior WAMU DOT secured against the Property. Therefore, Plaintiffs argue, Ms. Stewart's position that Plaintiffs' DOT and/or foreclosure sale is invalid, all while retaining the benefit from Plaintiffs' funds paying off the WAMU DOT against the Property would give Ms. Stewart an unjust benefit. (Opp., 7:16-18.) In other words, "[a]s a result of Plaintiffs' payment, [Ms.] Stewart's 35% beneficial interest in the trust was relieved of the burden of that lien. [Ms.] Stewart has been unjustly enriched to the extent that her beneficial interest has increased in value as a result of Plaintiffs' payment." (*Id.*, 7:18-19.)

Plaintiffs further argue that equitable subrogation does not require privity of contract between the paying party (Plaintiffs) and the party whose interest is benefited (Ms. Stewart). (Opp., 7:23-8:6.)

Ms. Stewart's only response is that Plaintiffs do not allege equitable subrogation in the Complaint; the cause of action is, instead, for "equitable lien/equitable mortgage." (Reply, 9:22-25.) Yet, Ms. Stewart does not identify or address any meaningful difference between causes of action for equitable subrogation and equitable lien in these circumstances. It is well-established that labels do not govern. "Erroneous or confusing labels attached by the inept pleader are to be ignored if the complaint pleads facts which would entitle the plaintiff to relief." (*Saunders v. Cariss* (1990) 224 Cal.App.3d 905, 908.) "It is not necessary that the cause of action be the one intended by plaintiff. The test is whether the complaint states any valid claim entitling plaintiff to relief. Thus, plaintiff may be mistaken as to the nature of the case, or the legal theory on which plaintiff can prevail. But if the essential facts of some valid cause of action are alleged, the complaint is good against a general demurrer." (Weil & Brown, § 7:41-7:42.) Ms. Stewart does not dispute that the Second Cause of Action alleges facts supplying the elements of equitable subrogation as enumerated by Plaintiffs. (See Opp., 8:2-6; see Reply, 9:22-25.)

b. The Second Cause of Action is not Uncertain

Ms. Stewart further contends that the second cause of action is uncertain because "[i]t seeks an equitable lien 'in first position … as of December 17, 2024,' while the Complaint's own allegations and the judicially noticeable record establish that Stewart had conveyed her interest to the Trust, leaving the basis, amount, and priority of any lien against Stewart indeterminate." (Dem., 4:27-5:3; Mem., 12:4-7.)

The foregoing is the universe of Ms. Stewart's argument on this point. The Court has a difficult time making anything of it. In Reply, Ms. Stewart appears to clarify that Plaintiffs' request for an equitable lien "in first position … as of December 17, 2024" is contradicted by the Complaint's concession that CLC held no title as of December 17, 2024. (Reply, 5:12-15.) As noted under the First Cause of Action, there is no such concession made in, or inferred by the allegations of, the Complaint. Plaintiffs are clearly alleging that title transferred December 17, 2024. (Compl., ¶ 24.) Plaintiffs appear to construe Ms. Stewart's uncertainty argument as contending that it is impossible to obtain an equitable lien against *Ms. Stewart* because she conveyed her interest in the Property to the Dry Creek Trust. (Opp., 8:7-15.) Assuming *arguendo* the foregoing is Ms. Stewart's intended argument, it, too, fails. As Plaintiffs argue, they seek an equitable lien against the entire Property, to which Ms. Stewart purports to retain a 35% beneficial interest through the Dry Cree Trust, making her an appropriate defendant. (*Ibid.*)

Based on the foregoing, the demurrer to the Second Cause of Action is OVERRULED.